INTERNATIONAL MONETARY FUND

GUINEA

June 15, 2020

REQUEST FOR DISBURSEMENT UNDER THE RAPID CREDIT FACILITY— DEBT SUSTAINABILITY ANALYSIS UPDATE

Approved By
Dominique Desruelle (AFR) and Marcello Estevão (IDA)

Prepared by the International Monetary Fund and the International Development Association.

Guinea: Joint Bank-Fund Debt Sustainability Analysis[1]	
Risk of external debt distress:	Moderate
Overall risk of debt distress	Moderate
Granularity in the risk rating	Limited space to absorb shocks
Application of judgment	Yes; breach of PV-of-public-debt-to-GDP ratio is short-lived and marginal.
Macroeconomic projections	The impact of the COVID-19 pandemic has led to a large downward revision of short-term growth. Needed policy response to the crisis is expected to temporarily deteriorate the fiscal position.
Financing strategy	Guinea will rely mostly on concessional financing, with non-concessional loans to increase over time.
Realism tools flagged	None
Mechanical risk rating under the external DSA	Moderate
Mechanical risk rating under the public DSA	High

[1] The Debt Sustainability Analysis (DSA) update was approved by Dominique Desruelle (IMF) and Marcello Estevão (IDA). Guinea's Composite Indicator score, which is based on the October 2019 WEO and the 2018 World Bank's CPIA, is 2.51 and its debt-carrying capacity is classified as weak. This update reflects debt service relief provided by the IMF under the CCRT, and by the Debt Service Suspension Initiative (DSSI) supported by the G-20 and Paris Club. The authorities have requested participation in the DSSI and indicated their intention to adhere to its commitments. It also incorporates financial assistance from the IMF under the RCF and additional support from the World Bank for the COVID-19 response, including emergency budget support. The coverage of public debt is as in the April 2020 DSA.

Guinea is at moderate risk of external debt distress with limited space to absorb shocks. *All external debt burden indicators under the baseline scenario, which accounts for the negative impact of the COVID-19 pandemic, lie below their respective thresholds. Stress tests suggest that debt vulnerabilities will increase if further adverse shocks materialize. Under the most extreme stress tests, all solvency and liquidity indicators breach their thresholds for prolonged periods. The overall risk of public debt distress is also assessed to be moderate, with the application of judgement regarding a brief and marginal breach for the PV of total-public-debt-to-GDP ratio over 2020–21, reflecting higher-than-earlier anticipated external borrowing in 2020 to fill urgent balance of payment and fiscal financing needs due to the COVID-19 pandemic, and the one-off impact of the 2018 recapitalization of the central bank.*[1] *This assessment hinges on the anticipated rebound of the Guinean economy in 2021 and rephasing of non-priority projects to enable scaling-up health infrastructure. In view of downside risks and knife-edge results of the granularity tool, staff considers that Guinea has limited space to absorb shocks.*

Table 1. Guinea: LIC DSA Macroeconomic Assumptions

(Percent of GDP, unless otherwise indicated)

	Previous DSA					Current DSA				
	2018	2019	2020	2025	2030	2018	2019	2020	2025	2030
Nominal GDP ($ Million)	12181	13797	14951	21302	29944	12181	13797	14244	20343	28580
Real GDP (percentage change)	6.2	5.6	5.8	5.0	5.0	6.2	5.6	1.4	5.0	5.0
Fiscal Accounts										
Revenues	13.1	13.7	14.1	16.4	17.2	13.1	13.7	12.3	16.0	16.9
Grants	1.1	0.3	0.9	0.9	0.9	1.1	0.3	1.2	0.9	0.9
Public Sector Expenditure	15.6	14.6	18.2	19.4	19.9	15.6	14.6	17.3	19.0	19.7
of which: Capital expenditure and net lending	5.1	3.7	6.9	8.0	8.7	5.1	3.7	4.9	7.6	8.2
Primary Fiscal Balance	-0.3	0.0	-2.4	-1.1	-0.7	-0.3	0.0	-3.0	-1.1	-0.9
New external borrowing	13.4	4.9	10.9	3.1	2.8	13.4	4.9	11.9	3.0	2.7
Grant elements of new external borrowing	31.2	31.7	31.7	39.5	37.8	31.2	31.7	32.1	39.9	38.2
Balance of Payments										
Exports of goods and services	32.9	30.5	32.2	32.3	32.1	32.9	30.5	27.8	32.1	32.8
Imports of goods and services	46.8	39.4	48.5	37.7	34.0	46.8	39.4	43.0	38.1	35.1
Current account (including transfers)	-19.0	-13.9	-22.0	-9.8	-6.6	-19.0	-13.9	-21.1	-10.0	-7.0
Foreign direct investment	12.9	12.9	10.1	7.0	7.0	12.9	12.9	8.3	7.4	7.4

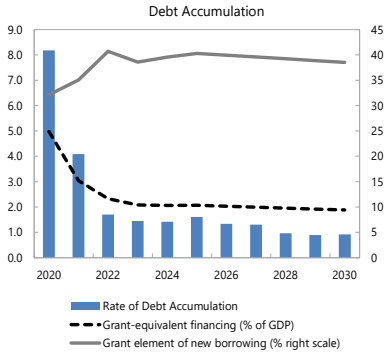
Source: Guinean authorities, IMF and World Bank staff estimates.

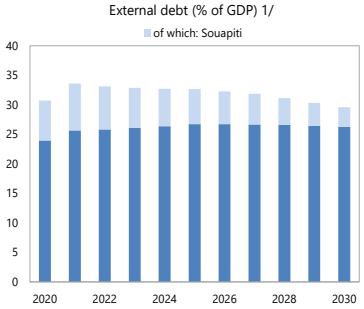
Table 2. Guinea: External Debt Sustainability Framework, Baseline Scenario, 2017–40

(Percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2017	2018	2019	2020	2021	2022	2023	2024	2025	2030	2040	Historical	Projections
External debt (nominal) 1/	**19.3**	**18.9**	**19.5**	**30.7**	**33.6**	**33.1**	**32.9**	**32.7**	**32.7**	**29.6**	**23.5**	**25.2**	**31.9**
of which: public and publicly guaranteed (PPG)	**19.3**	**18.9**	**19.5**	**30.7**	**33.6**	**33.1**	**32.9**	**32.7**	**32.7**	**29.6**	**23.5**	**25.2**	**31.9**
Change in external debt	-2.5	-0.4	0.5	11.3	2.9	-0.5	-0.2	-0.2	0.0	-0.7	-0.1		
Identified net debt-creating flows	**-9.3**	**3.1**	**-1.3**	**12.5**	**3.7**	**0.6**	**0.9**	**0.6**	**1.1**	**-1.8**	**-8.7**	**6.3**	**1.8**
Non-interest current account deficit	**6.8**	**18.7**	**13.8**	**20.9**	**15.1**	**12.6**	**10.3**	**9.6**	**9.6**	**6.6**	**-0.5**	**15.3**	**10.9**
Deficit in balance of goods and services	7.4	13.9	8.8	15.3	11.7	9.6	7.3	6.2	6.0	2.3	-3.3	**12.7**	**6.7**
Exports	39.9	32.9	30.5	27.8	31.1	30.9	31.9	32.4	32.1	32.8	33.8		
Imports	47.3	46.8	39.4	43.0	42.8	40.6	39.3	38.6	38.1	35.1	30.5		
Net current transfers (negative = inflow)	-0.9	-0.6	-0.5	-0.4	-0.5	-0.5	-0.5	-0.5	-0.5	-0.1	0.2	**-2.3**	**-0.4**
of which: official	-0.2	-0.2	0.0	-0.5	-0.4	-0.4	-0.5	-0.5	-0.5	-0.5	-0.5		
Other current account flows (negative = net inflow)	0.3	5.3	5.4	6.0	3.9	3.4	3.5	3.9	4.1	4.4	2.6	**4.9**	**4.6**
Net FDI (negative = inflow)	**-12.6**	**-12.9**	**-12.9**	**-8.3**	**-9.9**	**-10.2**	**-8.2**	**-7.9**	**-7.4**	**-7.4**	**-7.4**	**-7.8**	**-8.1**
Endogenous debt dynamics 2/	**-3.5**	**-2.6**	**-2.1**	**-0.1**	**-1.5**	**-1.7**	**-1.2**	**-1.1**	**-1.1**	**-1.0**	**-0.8**		
Contribution from nominal interest rate	0.2	0.3	0.1	0.2	0.4	0.4	0.4	0.4	0.4	0.4	0.3		
Contribution from real GDP growth	-1.9	-1.0	-0.9	-0.3	-1.9	-2.2	-1.6	-1.5	-1.5	-1.4	-1.1		
Contribution from price and exchange rate changes	-1.8	-1.9	-1.3	...	...	...	...	...	...	...	...		
Residual 3/	**6.8**	**-3.5**	**1.8**	**-1.2**	**-0.8**	**-1.1**	**-1.1**	**-0.8**	**-1.2**	**1.0**	**8.6**	**-9.3**	**-0.8**
of which: exceptional financing	-0.1	0.0	0.0	-0.2	-0.3	-0.1	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**14.0**	**21.5**	**23.8**	**23.5**	**23.3**	**23.1**	**23.1**	**20.8**	**17.0**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**45.9**	**77.4**	**76.6**	**75.9**	**72.9**	**71.4**	**71.9**	**63.5**	**50.3**		
PPG debt service-to-exports ratio	**1.4**	**1.7**	**1.6**	**2.0**	**2.9**	**4.6**	**4.6**	**4.5**	**4.1**	**5.2**	**4.4**		
PPG debt service-to-revenue ratio	**4.1**	**4.2**	**3.5**	**4.4**	**6.6**	**9.6**	**9.5**	**9.1**	**8.2**	**10.1**	**8.6**		
Gross external financing need (Billion of U.S. dollars)	-0.5	0.8	0.2	1.9	0.9	0.6	0.6	0.6	0.7	0.3	-3.6		
Key macroeconomic assumptions													
Real GDP growth (in percent)	10.3	6.2	5.6	1.4	6.6	7.0	5.2	5.0	5.0	5.0	5.0	**6.0**	**5.0**
GDP deflator in US dollar terms (change in percent)	8.9	11.0	7.2	1.8	0.7	1.6	1.7	1.8	1.8	2.0	2.0	**1.8**	**1.8**
Effective interest rate (percent) 4/	1.1	1.8	0.9	1.1	1.3	1.4	1.4	1.4	1.4	1.4	1.3	**1.1**	**1.4**
Growth of exports of G&S (US dollar terms, in percent)	66.9	-3.0	5.3	-6.2	20.3	8.2	10.5	8.4	6.1	7.4	7.4	**14.5**	**7.7**
Growth of imports of G&S (US dollar terms, in percent)	-4.8	16.4	-4.6	12.8	6.9	3.0	3.6	5.0	5.6	5.6	5.6	**17.8**	**5.8**
Grant element of new public sector borrowing (in percent)	...	...	...	32.1	35.1	40.7	38.6	39.6	40.3	38.5	21.6	**...**	**38.4**
Government revenues (excluding grants, in percent of GDP)	13.7	13.1	13.7	12.3	13.9	14.8	15.4	16.0	16.0	16.9	17.3	**13.5**	**15.5**
Aid flows (in Billion of US dollars) 5/	0.1	0.1	0.0	0.6	0.6	0.7	0.6	0.6	0.7	0.8	0.6		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	5.0	3.0	2.3	2.1	2.1	2.1	1.9	1.5	**...**	**2.4**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	38.2	43.5	52.6	52.1	52.7	54.4	54.5	41.5	**...**	**51.4**
Nominal GDP (Billion of US dollars)	10	12	14	14	15	17	18	19	20	29	56		
Nominal dollar GDP growth	20.1	17.8	13.3	3.2	7.4	8.8	7.0	6.9	6.9	7.0	7.0	**7.9**	**6.9**
Memorandum items:													
PV of external debt 7/	...	...	14.0	21.5	23.8	23.5	23.3	23.1	23.1	20.8	17.0		
In percent of exports	...	...	45.9	77.4	76.6	75.9	72.9	71.4	71.9	63.5	50.3		
Total external debt service-to-exports ratio	1.4	1.7	1.6	2.0	2.9	4.6	4.6	4.5	4.1	5.2	4.4		
PV of PPG external debt (in Billion of US dollars)			1.9	3.1	3.6	3.9	4.1	4.4	4.7	6.0	9.6		
(PVt-PVt-1)/GDPt-1 (in percent)				8.2	4.1	1.7	1.5	1.4	1.6	0.9	1.5		
Non-interest current account deficit that stabilizes debt ratio	9.3	19.1	13.2	9.6	12.3	13.1	10.6	9.8	9.6	7.4	-0.5		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

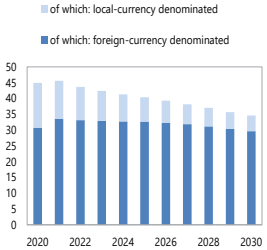
Table 3. Guinea: Public Sector Debt Sustainability Framework, Baseline Scenario, 2017–40

(Percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2017	2018	2019	2020	2021	2022	2023	2024	2025	2030	2040	Historical	Projections
Public sector debt 1/	**39.5**	**37.4**	**34.2**	**44.9**	**45.6**	**43.7**	**42.4**	**41.3**	**40.4**	**34.6**	**25.5**	**41.7**	**40.3**
of which: external debt	**19.3**	**18.9**	**19.5**	**30.7**	**33.6**	**33.1**	**32.9**	**32.7**	**32.7**	**29.6**	**23.5**	**25.2**	**31.9**
Change in public sector debt	-3.0	-2.1	-3.2	10.8	0.7	-1.9	-1.3	-1.1	-0.9	-1.1	-0.8		
Identified debt-creating flows	**-6.0**	**-4.5**	**-4.0**	**2.0**	**-1.3**	**-2.1**	**-1.4**	**-1.0**	**-0.9**	**-0.6**	**-0.7**	**-3.5**	**-0.8**
Primary deficit	**1.1**	**0.3**	**0.0**	**3.0**	**2.1**	**1.3**	**0.9**	**1.0**	**1.1**	**0.9**	**0.2**	**2.1**	**1.3**
Revenue and grants	15.2	14.3	14.0	13.4	14.8	15.7	16.3	16.8	16.9	17.8	18.2	**14.8**	**16.5**
of which: grants	1.4	1.1	0.3	1.2	0.9	0.9	0.9	0.8	0.9	0.9	0.9		
Primary (noninterest) expenditure	16.3	14.5	14.0	16.4	16.9	17.0	17.2	17.8	18.0	18.6	18.4	**16.9**	**17.7**
Automatic debt dynamics	**-7.1**	**-4.7**	**-4.0**	**-0.8**	**-3.1**	**-3.3**	**-2.3**	**-2.1**	**-2.0**	**-1.5**	**-0.8**		
Contribution from interest rate/growth differential	-5.2	-3.6	-3.3	-0.9	-3.1	-3.3	-2.3	-2.1	-2.0	-1.5	-0.8		
of which: contribution from average real interest rate	-1.2	-1.3	-1.3	-0.4	-0.3	-0.3	-0.2	-0.1	0.0	0.2	0.4		
of which: contribution from real GDP growth	-4.0	-2.3	-2.0	-0.5	-2.8	-3.0	-2.2	-2.0	-2.0	-1.7	-1.2		
Contribution from real exchange rate depreciation	-2.0	-1.1	-0.6	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**-0.2**	**-0.3**	**-0.1**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**-2.8**	**-0.1**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	-0.2	-0.3	-0.1	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**3.0**	**2.4**	**0.7**	**8.9**	**2.0**	**0.2**	**0.2**	**0.0**	**0.0**	**-0.5**	**-0.2**	**0.7**	**0.8**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**29.0**	**36.6**	**36.6**	**34.7**	**33.5**	**32.3**	**31.5**	**26.4**	**19.5**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**208.0**	**271.9**	**247.7**	**221.7**	**205.0**	**192.5**	**186.2**	**148.6**	**107.2**		
Debt service-to-revenue and grants ratio 3/	**6.1**	**12.2**	**20.5**	**16.8**	**16.6**	**16.2**	**16.0**	**14.7**	**13.4**	**14.1**	**12.3**		
Gross financing need 4/	1.2	1.2	2.9	5.2	4.4	3.7	3.5	3.5	3.3	3.4	2.4		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	10.3	6.2	5.6	1.4	6.6	7.0	5.2	5.0	5.0	5.0	5.0	**6.0**	**5.0**
Average nominal interest rate on external debt (in percent)	1.1	1.8	0.9	1.1	1.3	1.4	1.4	1.5	1.4	1.4	1.3	**1.2**	**1.4**
Average real interest rate on domestic debt (in percent)	-5.7	-6.4	-6.7	-3.5	-2.1	-1.3	-0.3	0.6	1.5	7.4	20.5	**-2.2**	**1.7**
Real exchange rate depreciation (in percent, + indicates depreciation)	-9.9	-6.1	-3.7	...	...	...	...	...	...	...	...	**0.5**	**...**
Inflation rate (GDP deflator, in percent)	10.4	10.0	9.3	8.5	8.2	8.2	7.8	7.8	7.8	7.8	7.8	**8.3**	**7.9**
Growth of real primary spending (deflated by GDP deflator, in percent)	22.0	-5.6	1.6	19.3	9.5	7.6	6.7	8.9	5.8	6.3	4.4	**7.0**	**7.9**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	4.2	2.4	3.2	-7.8	1.5	3.2	2.2	2.2	2.0	1.9	1.0	**3.3**	**1.2**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/



Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, central bank, government-guaranteed debt. Definition of external debt is Currency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

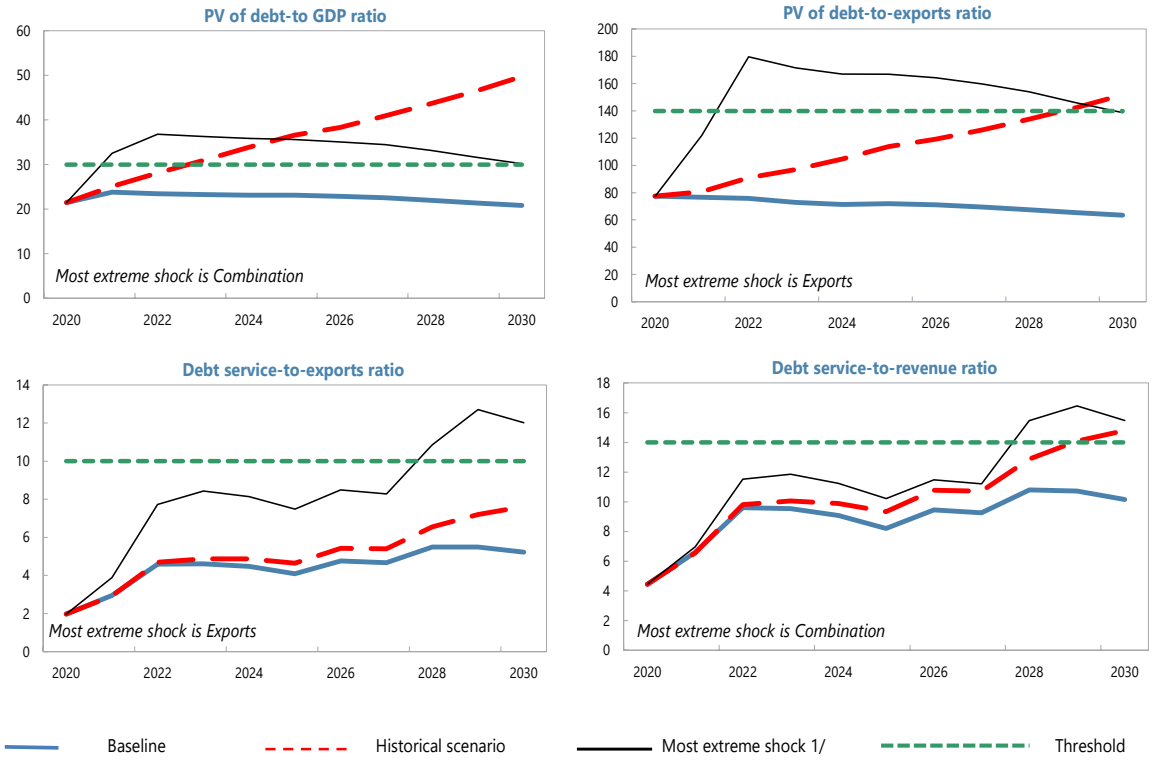
3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Figure 1. Guinea: Indicators of Public and Publicly Guaranteed External Debt under Alternative Scenarios, 2020–30



Customization of Default Settings	Size	Interactions
Tailored Tests		
Combined CLs	No	
Natural Disasters	n.a.	n.a.
Commodity Prices 2/	No	No
Market Financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	1.4%	1.4%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	23	23
Avg. grace period	6	6

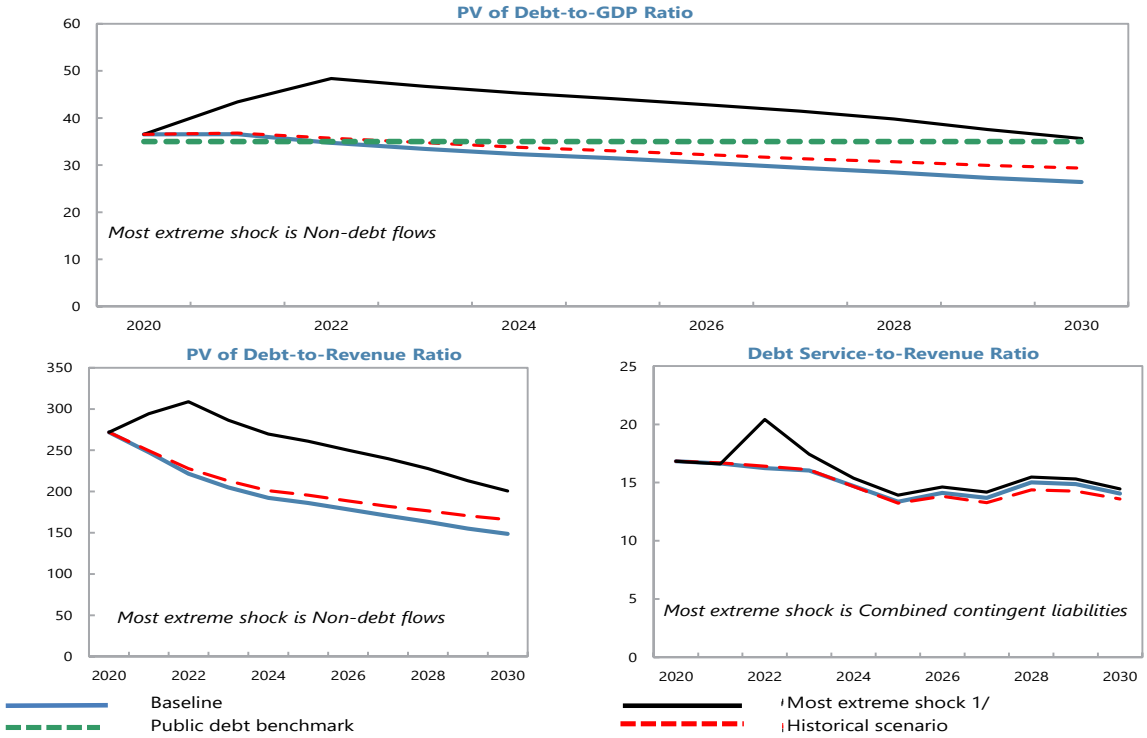
* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2030. Stress tests with one-off breaches are also presented (if any), while these one-off breaches are deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Guinea: Indicators of Public Debt Under Alternative Scenarios, 2020–30



Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	91%	91%
Domestic medium and long-term	1%	1%
Domestic short-term	7%	7%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	1.4%	1.4%
Avg. maturity (incl. grace period)	23	23
Avg. grace period	6	6
Domestic MLT debt		
Avg. real interest rate on new borrowing	2.7%	2.7%
Avg. maturity (incl. grace period)	2	2
Avg. grace period	1	1
Domestic short-term debt		
Avg. real interest rate	0%	0.0%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2030. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 3. Guinea: Indicators of Public and Publicly Guaranteed External Debt under Country Specific Alternative Scenarios, 2020–30[1]

Sources: Country authorities; and staff estimates and projections.

1/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Table 5. Guinea: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2020–30

(Percent)

	Projections 1/										
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
PV of debt-to GDP ratio											
Baseline	21	24	23	23	23	23	23	23	22	21	21
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 2/	21	25	28	**31**	**34**	**37**	**38**	**41**	**44**	**47**	**50**
A2. Weak Policy	21	24	24	24	24	24	24	24	23	23	23
A3. Higher non-concessional borrowing	21	24	24	24	25	25	24	24	23	22	22
B. Bound Tests											
B1. Real GDP growth	21	25	26	26	26	26	25	25	24	24	23
B2. Primary balance	21	25	27	27	26	26	26	26	25	24	24
B3. Exports	21	29	**37**	**36**	**36**	**35**	**35**	**34**	**33**	**31**	30
B4. Other flows 3/	21	**30**	**37**	**36**	**36**	**35**	**35**	**34**	**33**	**31**	30
B5. Depreciation	21	**30**	27	27	27	27	26	26	25	25	24
B6. Combination of B1-B5	21	**33**	**37**	**36**	**36**	**36**	**35**	**34**	**33**	**32**	**30**
C. Tailored Tests											
C1. Combined contingent liabilities	21	28	28	28	28	28	27	27	26	25	25
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	21	25	26	26	26	26	26	25	24	23	23
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	30	30	30	30	30	30	30	30	30	30	30
PV of debt-to-exports ratio											
Baseline	77	77	76	73	71	72	71	69	67	65	64
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 2/	77	81	91	97	105	114	119	126	134	**142**	**152**
A2. Weak Policy	77	77	77	75	74	75	75	73	72	70	69
A3. Higher non-concessional borrowing	77	77	78	76	76	76	75	73	71	68	66
B. Bound Tests											
B1. Real GDP growth	77	77	76	73	71	72	71	69	67	65	64
B2. Primary balance	77	82	87	83	82	82	81	79	77	74	72
B3. Exports	77	122	**180**	**172**	**167**	**167**	**164**	**160**	**154**	**146**	139
B4. Other flows 3/	77	98	119	113	110	110	108	105	101	96	91
B5. Depreciation	77	77	69	66	65	66	65	63	62	60	59
B6. Combination of B1-B5	77	116	109	128	125	125	123	120	115	109	104
C. Tailored Tests											
C1. Combined contingent liabilities	77	92	91	88	86	86	85	83	80	78	76
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	77	86	89	85	82	82	80	78	75	72	70
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	**140**	**140**	**140**	**140**	**140**	**140**	**140**	**140**	**140**	**140**	**140**
Debt service-to-exports ratio											
Baseline	2	3	5	5	4	4	5	5	5	5	5
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 2/	2	3	5	5	5	5	5	5	7	7	8
A2. Weak Policy	2	3	5	5	5	4	5	5	6	6	6
A3. Higher non-concessional borrowing	2	3	5	5	5	4	5	5	6	6	6
B. Bound Tests											
B1. Real GDP growth	2	3	5	5	4	4	5	5	5	5	5
B2. Primary balance	2	3	5	5	5	4	5	5	6	6	6
B3. Exports	2	4	8	8	8	7	8	8	**11**	**13**	**12**
B4. Other flows 3/	2	3	5	5	5	5	5	5	7	8	8
B5. Depreciation	2	3	5	4	4	4	5	5	5	5	5
B6. Combination of B1-B5	2	3	6	6	6	6	7	6	9	9	9
C. Tailored Tests											
C1. Combined contingent liabilities	2	3	5	5	5	4	5	5	6	6	5
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	2	3	5	5	5	4	5	5	6	6	6
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	10	10	10	10	10	10	10	10	10	10	10
Debt service-to-revenue ratio											
Baseline	4	7	10	10	9	8	9	9	11	11	10
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 2/	4	7	10	10	10	9	11	11	13	**14**	**15**
A2. Weak Policy	4	9	12	10	9	9	10	10	12	12	11
A3. Higher non-concessional borrowing	4	7	10	10	9	8	10	10	12	12	11
B. Bound Tests	4	9	12	10	9	9	10	10	12	12	11
B1. Real GDP growth	4	7	11	11	10	9	10	10	12	12	11
B2. Primary balance	4	7	10	10	9	9	10	10	12	12	12
B3. Exports	4	7	11	11	11	10	11	11	**14**	**16**	**15**
B4. Other flows 3/	4	7	10	11	11	10	11	11	**14**	**16**	**15**
B5. Depreciation	4	8	12	12	11	10	12	11	13	12	12
B6. Combination of B1-B5	4	7	12	12	11	10	11	11	**15**	**16**	**15**
C. Tailored Tests											
C1. Combined contingent liabilities	4	7	10	10	10	9	10	10	11	11	11
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	4	7	11	11	10	9	10	10	12	12	11
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	14	14	14	14	14	14	14	14	14	14	14

Sources: Country authorities; and staff estimates and projections.

1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 6. Guinea: Sensitivity Analysis for Key Indicators of Public Debt, 2020–30

(Percent)

	Projections 1/										
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
PV of Debt-to-GDP Ratio											
Baseline	**37**	**37**	35	33	32	31	31	29	28	27	26
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 2/	**37**	**37**	**36**	35	34	33	32	31	31	30	29
B. Bound Tests											
B1. Real GDP growth	**37**	**39**	**40**	**40**	**39**	**39**	**39**	**39**	**39**	**39**	**38**
B2. Primary balance	**37**	**39**	**39**	**37**	**36**	35	34	33	32	30	29
B3. Exports	**37**	**42**	**47**	**45**	**44**	**43**	**41**	**40**	**39**	**36**	35
B4. Other flows 3/	**37**	**43**	**48**	**47**	**45**	**44**	**43**	**41**	**40**	**38**	**36**
B5. Depreciation	**37**	**40**	**36**	34	32	30	28	27	25	23	21
B6. Combination of B1-B5	**37**	**37**	**36**	34	32	32	31	30	29	28	27
C. Tailored Tests											
C1. Combined contingent liabilities	**37**	**42**	**40**	**38**	**37**	**36**	**35**	34	33	32	30
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	**37**	**38**	**39**	**39**	**40**	**41**	**41**	**41**	**41**	**40**	**40**
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Public debt benchmark	35	35	35	35	35	35	35	35	35	35	35
PV of Debt-to-Revenue Ratio											
Baseline	272	248	222	205	192	186	178	171	163	155	149
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 2/	272	249	228	213	201	196	189	182	177	171	166
B. Bound Tests											
B1. Real GDP growth	272	263	254	241	233	232	228	225	222	218	215
B2. Primary balance	272	262	246	227	213	206	198	189	181	172	164
B3. Exports	272	281	299	277	261	252	242	232	221	207	195
B4. Other flows 3/	272	294	309	286	270	261	250	240	228	213	201
B5. Depreciation	272	269	234	211	192	180	167	155	143	131	121
B6. Combination of B1-B5	272	254	232	206	193	187	179	171	165	157	150
C. Tailored Tests											
C1. Combined contingent liabilities	272	285	254	235	221	214	205	196	188	179	172
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	272	282	266	260	251	249	243	236	233	229	226
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	17	17	16	16	15	13	14	14	15	15	14
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 2/	17	17	16	16	15	13	14	13	14	14	14
B. Bound Tests											
B1. Real GDP growth	17	17	18	19	17	16	17	17	18	18	18
B2. Primary balance	17	17	18	18	15	14	14	14	16	16	15
B3. Exports	17	17	17	17	16	15	15	15	18	20	18
B4. Other flows 3/	17	17	17	18	16	15	15	15	18	20	19
B5. Depreciation	17	16	18	17	16	15	16	15	16	16	15
B6. Combination of B1-B5	17	16	16	16	15	13	14	14	16	16	15
C. Tailored Tests											
C1. Combined contingent liabilities	17	17	20	17	15	14	15	14	15	15	14
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	17	18	18	20	18	17	17	16	18	19	18
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.

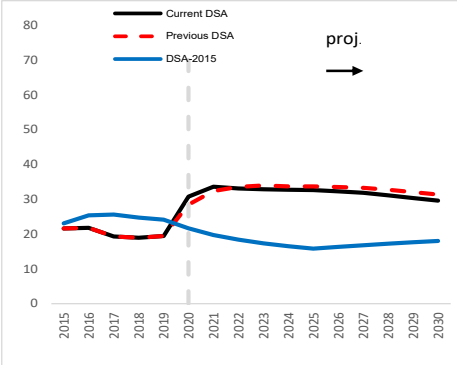
1/ A bold value indicates a breach of the benchmark.

2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.

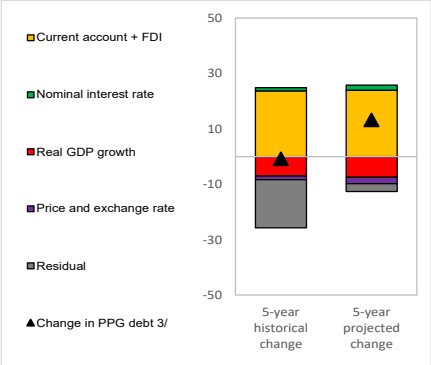
3/ Includes official and private transfers and FDI.

Figure 4. Guinea: Drivers of Debt Dynamics—Baseline Scenario External Debt

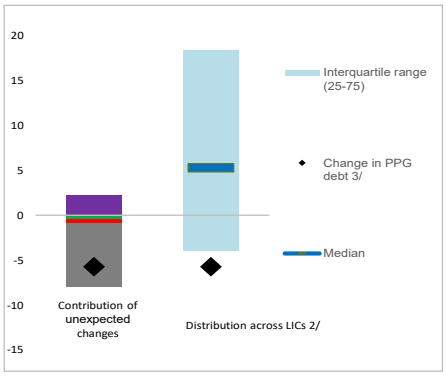
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

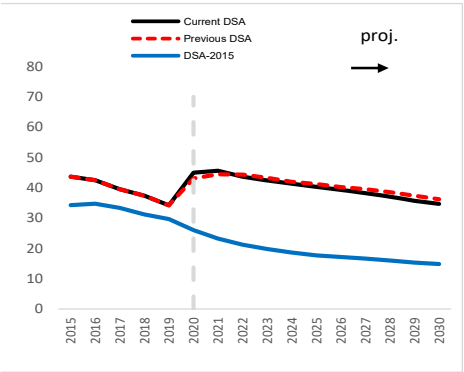


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

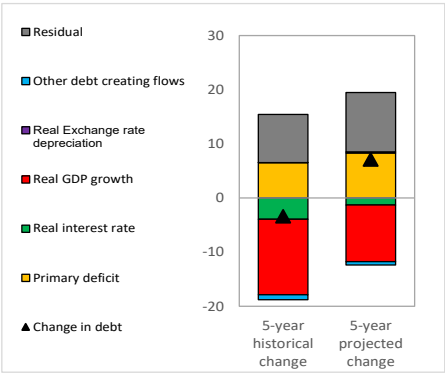


Public debt

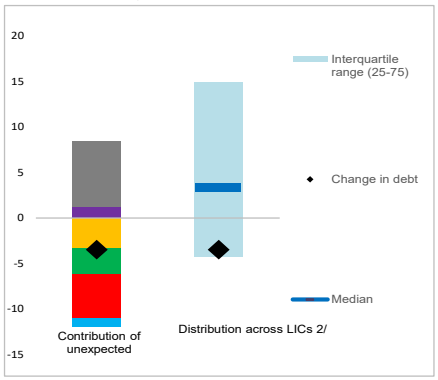
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



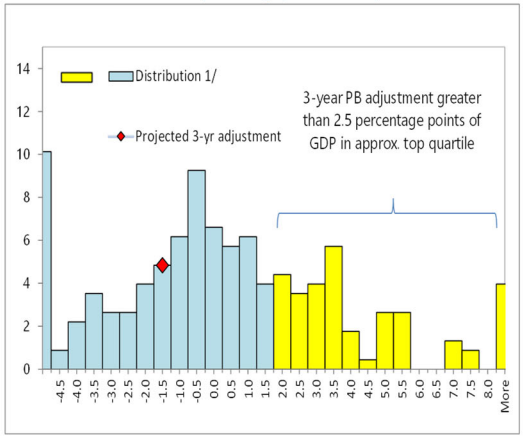
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

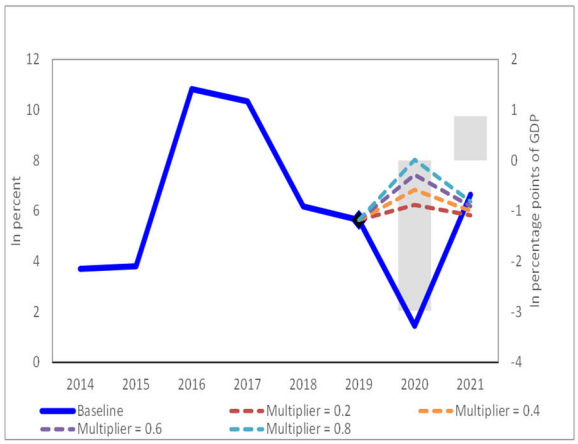
Figure 5. Guinea: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



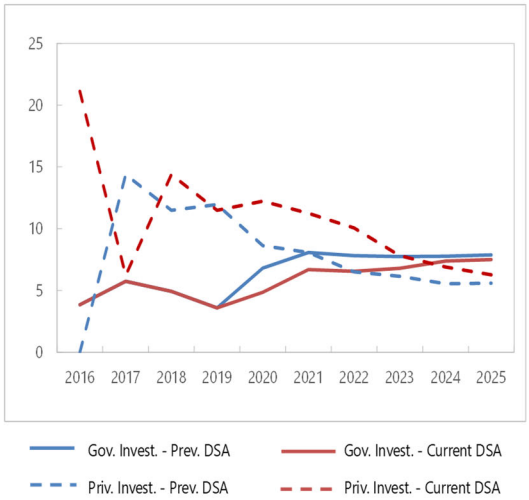
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(% of GDP)



Contribution to Real GDP growth
(percent, 5-year average)

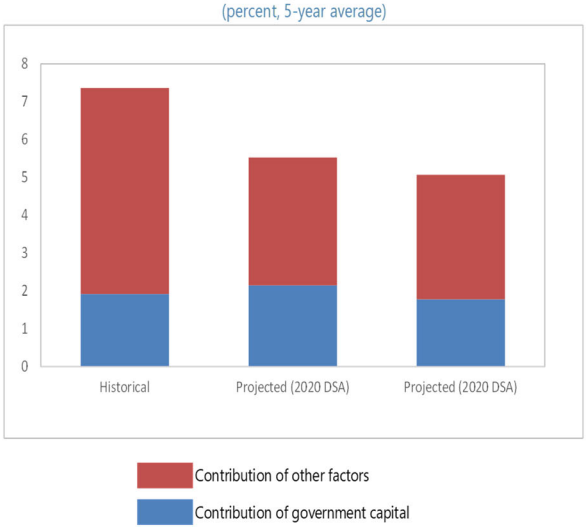


Figure 6. Guinea: Qualification of the Moderate Category, 2020–30[1]

Sources: Country authorities; and staff estimates and projections.

1/ For the PV debt/GDP and PV debt/exports thresholds, x is 20 percent and y is 40 percent. For debt service/Exports and debt service/revenue thresholds, x is 12 percent and y is 35 percent.